

Calendar Line # 9
Case Name Chung Bao vs Shih-Jen Lin et al
Case No. 25CV479927
Motion to Quash Before the court is specially appearing defendant Global Win Technology Co. Ltd.’s motion to quash service of summons for lack of personal jurisdiction. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows. <u>I. BACKGROUND</u> Defendant Global Win Technology Company Limited (“GW”) was founded in 1992 in Taiwan by defendant Shih Jen (Andy) Lin (“Lin”) to design and manufacture fans and cooling systems for electronic devices. (Complaint, ¶12). Plaintiff Chung Bao (“Bao”) has been employed by defendant GW since 1996. (Complaint, ¶13). In 1997, plaintiff Bao moved to the United States to set up and operate defendant Acadia Technology, Inc. (“Acadia”), a wholly-owned subsidiary of defendant GW. (Complaint, ¶14). Defendant Acadia was created to operate as defendant GW’s United States office for sales and returns. (Complaint, ¶15). Defendants GW and Acadia are owned by defendant Lin. (Complaint, ¶14). Plaintiff Bao has no ownership interest or shares in defendant Acadia. (Complaint, ¶15). Despite the lack of ownership, plaintiff Bao loaned defendant Acadia \$393,359.21 for operating capital (“Loan”). (Complaint, ¶16). Defendant Lin told plaintiff Bao to operate defendant Acadia including funding it when necessary. (<i>Id.</i>) The Loan was for the benefit of defendants GW, Acadia, and Lin. (Complaint, ¶17). Neither defendants GW, Acadia, nor Lin have repaid the Loan to plaintiff Bao. (Complaint, ¶18). The Loan is due upon plaintiff Bao’s termination from the company. (Complaint, ¶19). Plaintiff Bao is still employed by defendant Acadia. (Complaint, ¶20). Defendants Lin and GW have demonstrated through communications with plaintiff Bao that they do not intend to repay plaintiff Bao for the Loan now or upon termination of his employment with defendants GW and Acadia. (Complaint, ¶21). Defendant Acadia’s current financial situation make it impossible for defendant Acadia to repay the Loan. (Complaint, ¶22). Plaintiff Bao has not received a salary from defendant GW or Acadia since 2020. (Complaint, ¶25). Unpaid wages owed to plaintiff Bao for the last four years amounts to \$33,911.76. (Complaint, ¶26). On November 12, 2025, plaintiff Bao filed a complaint against defendants GW, Lin, and Acadia asserting causes of action for: (1) Anticipatory Repudiation – Breach of Loan Agreement (2) Breach of the Employment Contract (3) Failure to Pay Wages in Violation of California Labor Code §204 and §1194 (4) Unfair Competition in Violation of California Business & Professions Code §17200 et seq. (5) Failure to Pay Minimum Wage, California Labor Code §§1194, 1197 On January 2, 2026, defendant Acadia filed an answer to plaintiff Bao’s complaint. On April 21, 2026, specially appearing defendant GW filed the motion now before the court, a motion to quash service of summons for lack of personal jurisdiction.

On April 24, 2026, defendant Lin filed an answer to plaintiff Bao's complaint.

II. LEGAL STANDARD

Code of Civil Procedure section 418.10, subdivision (a)(1) states, in pertinent part, "A defendant, on or before the last day of his or her time to plead or within any further time that the court may for good cause allow, may serve and file a notice of motion for one or more of the following purposes: (1) To quash service of summons on the ground of lack of jurisdiction of the court over him or her."

"Although the defendant is the moving party, the burden of proof is on the plaintiff." (Weil & Brown et al., CAL. PRAC. GUIDE: CIV. PRO. BEFORE TRIAL (The Rutter Group 2025) ¶3:384, p. 121 citing *Floveyor International, Ltd. v. Superior Court* (1997) 59 Cal.App.4th 789, 793 (*Floveyor*), et al.). "When jurisdiction is challenged by a nonresident defendant, the burden of proof is on the plaintiff to demonstrate that sufficient 'minimum contacts' exist between the defendant and the forum state to justify imposition of personal jurisdiction." (*Sibley v. Superior Court* (1976) 16 Cal.3d 442, 445). "[T]he burden of proof is upon the plaintiff to establish the facts of jurisdiction by a preponderance of the evidence." (*Evangelize China Fellowship, Inc. v. Evangelize China Fellowship, Hong Kong* (1983) 146 Cal.App.3d 440, 444; *Snowney v. Harrah's Entertainment, Inc.* (2005) 35 Cal.4th 1054, 1062 (*Snowney*); *HealthMarkets, Inc. v. Superior Court* (2009) 171 Cal.App.4th 1160, 1167-1168 (*HealthMarkets*); *In re Automobile Antitrust Cases I and II* (2005) 135 Cal.App.4th 100, 110). The burden must be met by competent affidavits containing specific evidentiary facts or authenticated documentary evidence, not by allegations of an unverified complaint. (*In re Automobile Antitrust Cases I and II*, at p. 110). If plaintiffs satisfy that burden, the burden shifts to the defendant to show the exercise of jurisdiction would be unreasonable. (*HealthMarkets03*, at p. 1168; *Snowney*, at p. 1062).

III. ANALYSIS

As it is plaintiff Bao's burden to establish jurisdiction, the court looks first at plaintiff Bao's opposition papers. "California courts may exercise personal jurisdiction on any basis consistent with the Constitution of California and the United States. [Citation.] The exercise of jurisdiction over a nonresident defendant comports with these Constitutions "if the defendant has such minimum contacts with the state that the assertion of jurisdiction does not violate "traditional notions of fair play and substantial justice." " " [Citations]. [¶] "The concept of minimum contacts . . . requires states to observe certain territorial limits on their sovereignty. It "ensure[s] that the States, through their courts, do not reach out beyond the limits imposed on them by their status as coequal sovereigns in a federal system." " [Citation.] To do so, the minimum contacts test asks "whether the "quality and nature" of the defendant's activity is such that it is "reasonable" and "fair" to require him to conduct his defense in that State." [Citation.] The test "is not susceptible of mechanical application; rather, the facts of each case must be weighed to determine whether the requisite "affiliating circumstances" are present." " (*Snowney, supra*, 35 Cal.4th at pp. 1061-1062).

Pursuant to Code of Civil Procedure section 410.10, California's long-arm statute, "[a] court of this state may exercise jurisdiction on any basis not inconsistent with the Constitution of this state or of the United States." The long-arm statute "manifests an intent to exercise the broadest possible jurisdiction," limited only by constitutional considerations of due process. (*Sibley v. Superior Court* (1976) 16 Cal.3d 442, 445, [128 Cal. Rptr. 34, 546 P.2d 322]; *Vons Companies, Inc. v. Seabest Foods, Inc.* (1996) 14 Cal.4th 434, 444 (*Vons*), [58 Cal. Rptr. 2d 899, 926 P.2d 1085]). The general rule is that a state may exercise personal jurisdiction over a nonresident defendant "if the defendant has such minimum contacts with the state that the assertion of jurisdiction does not violate "traditional notions of fair play and substantial justice." (*Vons Companies, Inc. v. Seabest Foods, Inc., supra*, 14 Cal.4th at p. 444, quoting *International Shoe Co. v. Washington* (1945) 326 U.S. 310, 326, [90 L. Ed. 95, 66 S. Ct. 154]). Stated another way, "the forum state may not exercise jurisdiction over a nonresident unless his [or her] relationship to the state is such as to make the exercise of such jurisdiction

reasonable.” (*Cornelison v. Chaney* (1976) 16 Cal.3d 143, 147, [127 Cal. Rptr. 352, 545 P.2d 264]). As these tests suggest, the question of jurisdiction cannot be answered by the application of precise formulas or mechanical rules. Each case must be decided on its own facts. (*Id.* at p. 150).

Personal jurisdiction may be either general or specific. (*Helicopteros Nacionales de Colombia, S.A. v. Hall* (1984) 466 U.S. 408, 414-415, [80 L. Ed. 2d 404, 104 S. Ct. 1868]; *Vons Companies, Inc. v. Seabest Foods, Inc.*, *supra*, 14 Cal.4th at p. 445). General jurisdiction may lie for all purposes if a defendant has established a presence in the forum state by virtue of activities in the state which are “extensive or wide-ranging” (*Buckeye Boiler Co. v. Superior Court* (1969) 71 Cal.2d 893, 898-899, [80 Cal. Rptr. 113, 458 P.2d 57]) or “substantial . . . continuous and systematic.” (*Cornelison v. Chaney*, *supra*, 16 Cal.3d at p. 148). In such a case a defendant’s contacts “take the place of physical presence in the forum as a basis for jurisdiction.” (*Vons Companies, Inc. v. Seabest Foods, Inc.*, *supra*, 14 Cal.4th at p. 446).

(*Integral Development Corp. v. Weissenbach* (2002) 99 Cal.App.4th 576, 583 – 584 (*Integral*)).

A. GENERAL JURISDICTION

A defendant whose contacts with a state are "substantial" or "continuous and systematic" can be haled into court in that state in any action, even if the action is unrelated to those contacts. See *Helicopteros Nacionales de Colombia, S.A. v. Hall*, 466 U.S. 408, 415, 80 L. Ed. 2d 404, 104 S. Ct. 1868 (1984). This is known as general jurisdiction. The standard for establishing general jurisdiction is "fairly high," *Brand v. Menlove Dodge*, 796 F.2d 1070, 1073 (9th Cir. 1986), and requires that the defendant's contacts be of the sort that approximate physical presence. See *Gates Lear Jet Corp. v. Jensen*, 743 F.2d 1325, 1331 (9th Cir. 1984). Factors to be taken into consideration are whether the defendant makes sales, solicits or engages in business in the state, serves the state's markets, designates an agent for service of process, holds a license, or is incorporated there. See *Hirsch v. Blue Cross, Blue Shield of Kansas City*, 800 F.2d 1474, 1478 (9th Cir. 1986).

(*Bancroft & Masters, Inc. v. Augusta Nat'l Inc.* (9th Cir. 2000) 223 F.3d 1082, 1086; see also *Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal.App.4th 523, 536 (*Sonora*)).

“We start with the firm proposition that neither ownership nor control of a subsidiary corporation by a foreign parent corporation, without more, subjects the parent to the jurisdiction of the state where the subsidiary does business.” (*Sonora*, *supra*, 83 Cal.App.4th at p. 540). By plaintiff’s own allegation, defendant GW is incorporated in Taiwan and wholly owns a subsidiary California corporation, defendant Acadia. (Complaint, ¶¶3 – 4, 12, and 14). Under *Sonora*, ownership alone is insufficient to subject defendant GW to general jurisdiction in California.

1. Alter Ego

Alternatively, plaintiff Bao makes the argument that defendant Acadia is the alter ego of defendant GW and defendant Acadia’s presence in California must be attributed to defendant GW, “so that in legal effect [GW] was a California corporation engaged in an ongoing California business and subject to the general jurisdiction of the California courts.” (*Sonora*, *supra*, 83 Cal.App.4th at p. 537). Plaintiff Bao also appears to argue that defendant Acadia is defendant Lin’s alter ego. Such a showing, however, would not aid in establishing personal jurisdiction against defendant GW.

Ordinarily, a corporation is regarded as a legal entity, separate and distinct from its stockholders, officers and directors, with separate and distinct liabilities and obligations. (*Wenban Estate, Inc. v. Hewlett* (1924) 193 Cal. 675, 696 [227 P. 723]; *Communist Party v. 522 Valencia, Inc.* (1995) 35 Cal. App. 4th 980, 993 [41 Cal. Rptr. 2d 618]; *Robbins v. Blecher* (1997) 52 Cal. App. 4th 886, 892 [60 Cal. Rptr. 2d 815]). A corporate identity may be disregarded--the "corporate veil" pierced--where an abuse of the corporate privilege justifies holding the equitable ownership of a corporation liable for the actions of the corporation. (*Roman Catholic Archbishop v. Superior Court* (1971) 15 Cal. App. 3d

405, 411 [93 Cal. Rptr. 338]). Under the alter ego doctrine, then, when the corporate form is used to perpetrate a fraud, circumvent a statute, or accomplish some other wrongful or inequitable purpose, the courts will ignore the corporate entity and deem the corporation's acts to be those of the persons or organizations actually controlling the corporation, in most instances the equitable owners. (*Robbins v. Blecher, supra*, 52 Cal. App. 4th at p. 892; *Communist Party v. 522 Valencia, Inc., supra*, 35 Cal. App. 4th at pp. 993-994). The alter ego doctrine prevents individuals or other corporations from misusing the corporate laws by the device of a sham corporate entity formed for the purpose of committing fraud or other misdeeds. (*Associated Vendors, Inc. v. Oakland Meat Co.* (1962) 210 Cal. App. 2d 825, 842 [26 Cal. Rptr. 806]).

In California, two conditions must be met before the alter ego doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone. (*Automotriz etc. De California v. Resnick* (1957) 47 Cal. 2d 792, 796 [306 P.2d 1, 63 A.L.R.2d 1042]; *Hennessey's Tavern, Inc. v. American Air Filter Co.* (1988) 204 Cal. App. 3d 1351, 1358 [251 Cal. Rptr. 859]; *Alberto v. Diversified Group, Inc., supra*, 55 F.3d at p. 205; *Calvert, supra*, 875 F. Supp. at p. 678). "Among the factors to be considered in applying the doctrine are commingling of funds and other assets of the two entities, the holding out by one entity that it is liable for the debts of the other, identical equitable ownership in the two entities, use of the same offices and employees, and use of one as a mere shell or conduit for the affairs of the other." (*Roman Catholic Archbishop v. Superior Court, supra*, 15 Cal. App. 3d at pp. 406, 411; *Associated Vendors, Inc. v. Oakland Meat Co., supra*, 210 Cal. App. 2d at pp. 838-839). Other factors which have been described in the case law include inadequate capitalization, disregard of corporate formalities, lack of segregation of corporate records, and identical directors and officers. (See *Tomaselli v. Transamerica Ins. Co.* (1994) 25 Cal. App. 4th 1269, 1285 [31 Cal. Rptr. 2d 433]; *Associated Vendors, Inc. v. Oakland Meat Co., supra*, 210 Cal. App. 2d at pp. 838-839; *Alberto v. Diversified Group, Inc., supra*, 55 F.3d at p. 205). No one characteristic governs, but the courts must look at all the circumstances to determine whether the doctrine should be applied. (*Talbot v. Fresno-Pacific Corp.* (1960) 181 Cal. App. 2d 425, 432 [5 Cal. Rptr. 361]). Alter ego is an extreme remedy, sparingly used. (*Calvert, supra*, 875 F. Supp. at p. 678).

(*Sonora, supra*, 83 Cal.App.4th at pp. 538-539).

Plaintiff Bao proffers evidence which he suggests support a finding on the first condition necessary to invoke the alter ego doctrine that "a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist." However, as plaintiff Bao recognizes and as noted above, application of the alter ego doctrine also requires "an inequitable result if the acts in question are treated as those of the corporation alone." Just as in *Sonora*,

at least one of the two essential elements of the alter ego doctrine was not established; there was no evidence of any wrongdoing by either Diamond or Sonora Mining or any evidence of injustice flowing from the recognition of Sonora Mining's separate corporate identity. Without such evidence, the alter ego doctrine cannot be invoked.

(*Id.* at p. 539).

Plaintiff Bao here has not made a sufficient evidentiary showing of any wrongdoing by either defendants GW or Acadia. Initially, it is not enough for plaintiff Bao to rely on the allegations of his complaint. (*Id.* at p. 540—"The District is plainly wrong to the extent it claims the inclusion in a complaint of alter ego allegations automatically gives the trial court jurisdiction over the defendant against whom such allegations are directed. . . . the plaintiff, in

opposing the defendant's motion to quash, must present evidence to justify a finding that the requisite jurisdictional minimum contacts exist”).

Plaintiff Bao does submit his own declaration wherein he states he loaned money to defendant Acadia for operating capital over a number of years attaching copies of checks drawn on [plaintiff Bao’s account] that [plaintiff Bao] deposited into defendant Acadia’s bank account between 2012 and 2021. (See ¶7 and Exh. A to the Declaration of Chung Bao in Support of Opposition to GlobalWIN Technology Company Limited’s Motion to Quash Service of Summons for Lack of Personal Jurisdiction (“Declaration Bao”). However, plaintiff Bao’s opposition includes evidence denying any such loan. (See ¶9 and Exh. B to the Declaration of Edward A. Kraus in Support of Plaintiff Chung Bao’s Opposition, etc. (“Declaration Kraus”).

2. Agency/ Representative Service Doctrine

As yet another alternative, plaintiff Bao contends “Agency may confer general jurisdiction in the forum state over a foreign corporation.” (*Id.* at p. 540).

The relationship of owner to owned contemplates a close financial connection between parent and subsidiary and a certain degree of direction and management exercised by the former over the latter. (*Rollins Burdick Hunter of So. Cal., Inc. v. Alexander & Alexander Services, Inc.*, *supra*, 206 Cal. App. 3d at p. 9; *Calvert*, *supra*, 875 F. Supp. at pp. 678-679).

However, the case law identifies one situation when the acts of the parent may be found to trespass the boundaries of legitimate ownership and control of the subsidiary and expose the parent to the power of the state in which the subsidiary does business. Thus, where the nature and extent of the control exercised over the subsidiary by the parent is so pervasive and continual that the subsidiary may be considered nothing more than an agent or instrumentality of the parent, notwithstanding the maintenance of separate corporate formalities, jurisdiction over the parent may be grounded in the acts of the subsidiary/agent. (*Clark*, *supra*, 811 F. Supp. 1061, 1067). In this instance, the question is not whether there exists justification to disregard the subsidiary's corporate identity, the point of the alter ego analysis, but instead whether the degree of control exerted over the subsidiary by the parent is enough to reasonably deem the subsidiary an agent of the parent under traditional agency principles. [Footnote.] (*Ibid.*) The jurisdiction acquired by the forum state under this rationale is general. (*Ibid.*) Control is the key characteristic of the agent/principal relationship. (*Cislaw v. Southland Corp.* (1992) 4 Cal. App. 4th 1284, 1292-1296 [6 Cal. Rptr. 2d 386]).

Accordingly, if a parent corporation exercises such a degree of control over its subsidiary corporation that the subsidiary can legitimately be described as only a means through which the parent acts, or nothing more than an incorporated department of the parent, the subsidiary will be deemed to be the agent of the parent in the forum state and jurisdiction will extend to the parent. (See *Rollins Burdick Hunter of So. Cal., Inc. v. Alexander & Alexander Services, Inc.*, *supra*, 206 Cal. App. 3d at p. 9; *Kramer Motors, Inc. v. British Leyland, Ltd.* (9th Cir. 1980) 628 F.2d 1175, 1177; *Escude Cruz v. Ortho Pharmaceutical Corp.*, *supra*, 619 F.2d at p. 905; *Calvert*, *supra*, 875 F. Supp. 674; *Clark*, *supra*, 811 F. Supp. at p. 1067; *Gallagher v. Mazda Motors of America, Inc.* (E.D.Pa. 1992) 781 F. Supp. 1079, 1083-1084 (*Gallagher*); *Bellomo v. Pennsylvania Life Co.* (S.D.N.Y. 1980) 488 F. Supp. 744 (*Bellomo*)).

The nature of the control exercised by the parent over the subsidiary necessary to put the subsidiary in an agency relationship with the parent must be over and above that to be expected as an incident of the parent's ownership of the subsidiary and must reflect the parent's purposeful disregard of the

subsidiary's independent corporate existence. (See *Rollins Burdick Hunter of So. Cal., Inc. v. Alexander & Alexander Services, Inc.*, *supra*, 206 Cal. App. 3d at p. 9). The parent's general executive control over the subsidiary is not enough; rather there must be a strong showing beyond simply facts evidencing "the broad oversight typically indicated by [the] common ownership and common directorship" present in a normal parent-subsidiary relationship. (*Calvert, supra*, 875 F. Supp. at p. 679; see also *Wells Fargo & Co. v. Wells Fargo Exp. Co.*, *supra*, 556 F.2d at pp. 419-420 and numerous federal cases cited therein). As a practical matter, the parent must be shown to have moved beyond the establishment of general policy and direction for the subsidiary and in effect taken over performance of the subsidiary's day-to-day operations in carrying out that policy. (*Calvert, supra*, 875 F. Supp. at p. 679; see also *Rollins Burdick Hunter of So. Cal., Inc. v. Alexander & Alexander Services, Inc.*, *supra*, 206 Cal. App. 3d at p. 9; *American Intern. Airways v. Kitty Hawk Group* (E.D.Mich. 1993) 834 F. Supp. 222, 225; *Bellomo, supra*, 488 F. Supp. at p. 745).

(*Sonora, supra*, 83 Cal.App.4th at pp. 541-542).

General "jurisdiction [has been found] appropriate [when] the foreign parent corporation permitted the subsidiary to perform acts in the forum state that the parent would otherwise have had to perform itself as a part of the parent's expected business operations. . . . A foreign corporation is doing business in [the forum state] . . . when its [forum state] representative provides services beyond 'mere solicitation' and these services are sufficiently important to the foreign corporation that if it did not have a representative to perform them, the corporation's own officials would undertake to perform substantially similar services." (*Id.* at pp. 542-543; citations and footnotes omitted).

The "representative services" doctrine . . . supports the exercise of jurisdiction when the local subsidiary performs a function that is compatible with, and assists the parent in the pursuit of, the parent's *own* business, but the doctrine does not support jurisdiction where the parent is merely a holding company whose only business pursuit is the investment in the subsidiary." (*Id.* at p. 543; italics original).

In support of application of this "agency" or "representative services" doctrine, plaintiff Bao proffers his declaration wherein he states, "In 1996, at Lin's direction, I moved to the United States to set up and operate, for Lin and [GW], Acadia Technology, Inc. ('Acadia'), a wholly owned subsidiary of [GW]. . . . Acadia was created to operate as [GW's] United States office for sales and returns. I was the only manager here to run day-to-day operations and communications. However, Lin controls the company and decides what the company needs to do. I report to Lin." (See ¶¶4 – 5 of the Declaration Bao).

Plaintiff Bao also cites defendant Lin's testimony offered in support of defendant GW's motion to quash wherein defendant Lin states, "In approximately 1997, I supported the opening of a company in the state of California, for the purpose of assisting [GW] in selling products in California and the United States." (See ¶3 to the Declaration of Shi-Jen Lin in Support of Specially Appearing Defendant Global Win Technology Co. Ltd.'s Memorandum of Points and Authorities in Support of Motion to Quash Service of Summons for Lack of Personal Jurisdiction ("Declaration Lin")).

Even so, the court is of the opinion that there is some temporal aspect to consider in application of the agency/representative services doctrine. In relevant part, defendant GW proffers a declaration from defendant Lin, as CEO of GW, who states, "By 2005, [GW] was consistently losing money and [GW] made the decision to cease operations in California. . . . plaintiff Bao, who was working for [Acadia] pleaded with me to allow him to keep [Acadia] open, so that he could keep his family in the United States and continue with his own projects using the 'Acadia' name. As [plaintiff] Bao was a friend, I did not shut down Acadia. As a result, after 2005, Mr. Bao was completely in charge of Acadia and with the exception of one transaction . . . [GW] did not receive business benefits from [Acadia]. Staring in 2005, [GW] stopped using [Acadia] to sell products." (See ¶¶4 – 6 to the

Declaration Lin). Discovery responses from defendants Acadia and Lin are consistent. (See ¶9 and Exh. A – B to the Declaration Kraus).

Thus, while the agency/ representative services doctrine may have supported general jurisdiction against GW prior to 2005 or even within some reasonable amount of time thereafter, those doctrines no longer support general jurisdiction against defendant GW more than twenty years later in the absence of more contemporaneous evidence.

That defendants GW and Acadia had the same officers is also not enough to establish general jurisdiction. The *Sonora* court held, “that the directors and officers were interlocking is insufficient to rebut the presumption that each common officer or director wore the appropriate ‘hat’ when making corporate and operational decisions for the respective entities.” (*Id.* at p. 549).

The District maintains that the existence of common officers and directors between the two corporations supports the trial court's assumption of jurisdiction. The law is otherwise. It is considered a normal attribute of ownership that officers and directors of the parent serve as officers and directors of the subsidiary. (*United States v. Bestfoods* (1998) 524 U.S. 51, 69 [118 S. Ct. 1876, 1888, 141 L. Ed. 2d 43, 157 A.L.R. Fed. 735]; *AT&T, supra*, 94 F.3d at p. 591; *Calvert, supra*, 875 F. Supp. at p. 678). " 'It is entirely appropriate for directors of a parent corporation to serve as directors of its subsidiary, and that fact alone may not serve to expose]the parent corporation to liability for its subsidiary's acts.' [Citations]. [P] This recognition that the corporate personalities remain distinct has its corollary in the 'well established principle [of corporate law] that directors and officers holding positions with a parent and its subsidiary can and do "change hats" to represent the two corporations separately, despite their common ownership. [Citations].' " (*United States v. Bestfoods, supra*, 524 U.S. at p. 69 [118 S. Ct. at p. 1888].

(*Sonora, supra*, 83 Cal.App.4th at pp. 548-549).

B. SPECIFIC JURISDICTION

Alternatively, plaintiff Bao contends the court can properly exercise specific jurisdiction over defendant GW.

If a nonresident defendant's activities in the state are not sufficient to allow the forum state to exercise general jurisdiction for all purposes, the state may nonetheless exercise specific jurisdiction “if the defendant has purposefully availed himself or herself of forum benefits (*Burger King Corp. v. Rudzewicz* (1985) 471 U.S. 462, 472-473, [85 L. Ed. 2d 528, 105 S. Ct. 2174]) and the ‘controversy is related to or “arises out of” a defendant’s contacts with the forum.’ (*Helicopteros Nacionales De Columbia v. Hall, supra*, 466 U.S. at p. 414) (*Vons Companies, Inc. v. Seabest Foods, Inc., supra*, 14 Cal.4th at p. 446). Once a court decides that a defendant has purposefully established contacts with the forum state and that plaintiff's cause of action arose out of those forum-related contacts, the final step in the analysis involves balancing the convenience of the parties and the interests of the state in order to determine whether the exercise of personal jurisdiction is fair and reasonable under all of the circumstances. (*Burger King Corp. v. Rudzewicz, supra*, 471 U.S. at pp. 477-478; *Vons Companies, Inc. v. Seabest Foods, Inc., supra*, 14 Cal.4th at pp. 447-448).

(*Integral, supra*, 99 Cal.App.4th at pp. 583 – 584).

1. Purposeful Availment

“The non-resident defendant must have purposefully directed its activities at forum residents, or purposefully availed itself of the privilege of conducting activities within the forum state, thus invoking the benefits and protections of local law.” (Weil & Brown et al., (CAL. PRAC. GUIDE: CIV. PRO. BEFORE TRIAL (The Rutter Group 2025) at ¶3:226, p. 87 citing *Hanson v. Denckla* (1958) 357 U.S. 235, 253; *Vons, supra*, 14 Cal.4th at p. 446). “Purposeful availment exists where the defendant purposefully and voluntarily directs its activities toward the

forum state in an effort to obtain a benefit from that state.” (*Snowney v. Harrah’s Entertainment, Inc.* (2005) 35 Cal.4th 1054, 1067).

“ ‘The purposeful availment inquiry . . . focuses on the defendant’s intentionality. [Citation]. This prong is only satisfied when the defendant purposefully and voluntarily directs his activities toward the forum so that he should expect, by virtue of the benefit he receives, to be subject to the court’s jurisdiction based on’ his contacts with the forum. [Citation]. Thus, the ‘purposeful availment’ requirement ensures that a defendant will not be haled into a jurisdiction solely as a result of ‘random,’ ‘fortuitous,’ or ‘attenuated’ contacts [citations], or of the ‘unilateral activity of another party or a third person.’ [Citations.]” (*Elkman v. National States Ins. Co.* (2009) 173 Cal.App.4th 1305, 1317).

To establish defendant GW’s purposeful availment, Plaintiff Bao again points to the same evidence discussed earlier, i.e., that in 1996, Acadia was created to operate as [GW’s] United States office for sales and returns (See ¶¶4 – 5 of the Declaration Bao) and defendant Lin’s own testimony that, “In approximately 1997, I supported the opening of a company in the state of California, for the purpose of assisting [GW] in selling products in California and the United States.” (See ¶3 to the Declaration of Shi-Jen Lin in Support of Specially Appearing Defendant Global Win Technology Co. Ltd.’s Memorandum of Points and Authorities in Support of Motion to Quash Service of Summons for Lack of Personal Jurisdiction (“Declaration Lin”)).

2. Claim Arising from Defendant’s Forum-Related Activity

Even if the court assumes the purposeful availment prong has been met, the next element required to establish specific jurisdiction against an out-of-state defendant is that “the controversy is related to or arises out of the defendant’s contacts with the forum.” (*Pavlovich v. Superior Court* (2002) 29 Cal.4th 262, 269).

The alleged controversy here is defendant Acadia’s anticipatory breach of a purported loan agreement as well as defendant Acadia’s failure to pay plaintiff Bao wages. In the court’s opinion and as alluded to earlier, such claims are too temporally attenuated from defendant GW’s establishment of Acadia. By plaintiff Bao’s own declaration, his claim for wages dates to 2020. (See ¶16 to the Declaration Bao—“I have not received a salary from [GW] or Acadia since 2020”). By plaintiff Bao’s own allegations, repayment of the Loan “is due upon Bao’s termination from the company. Bao is still currently employed by Acadia.” (Complaint, ¶¶19 – 20). The very existence of the Loan is disputed. Based on the evidence presented, the court is not persuaded that plaintiff Bao has carried his burden of establishing, by a preponderance of the evidence, that he entered into a Loan agreement with defendant Acadia. It follows that plaintiff Bao has not sufficiently tethered any controversy to defendant GW’s creation of defendant Acadia in 1996/ 1997 or operation thereafter.

Plaintiff’s reliance on *Sanders v. CEG Corp.* (1979) 95 Cal.App.3d 779 and *Empire Steel Corp. v. Superior Court of Los Angeles County* (1961) 56 Cal.2d 823 are not persuasive as the court finds them factually dissimilar.

3. Reasonableness

“[T]he plaintiff has the initial burden of demonstrating facts justifying the exercise of jurisdiction.” (*Vons, supra*, 14 Cal. 4th at p. 449). If the plaintiff meets this initial burden, then the defendant has the burden of demonstrating “that the exercise of jurisdiction would be unreasonable.” (*Pavlovich v. Superior Court* (2002) 29 Cal.4th 262, 273).

In light of the court’s finding above that plaintiff Bao has not met his initial burden of demonstrating facts justifying the exercise of specific jurisdiction, the court need not reach the final step of balancing the convenience of the parties and the interests of the state in order to determine whether the exercise of personal jurisdiction is fair and reasonable under all of the circumstances.

Plaintiff Bao asks, should the court be inclined to grant the motion to quash, for a continuance of the hearing on the motion to quash to allow him to conduct discovery on the jurisdictional issues. “In order to prevail on a motion for a continuance for jurisdictional discovery, the plaintiff should demonstrate that discovery is likely to lead to the production of evidence of facts establishing jurisdiction.” (*In re Automobile Antitrust Cases I & II* (2005) 135 Cal.App.4th 100, 127). Plaintiff’s counsel highlights his declaration stating, in part, that despite meet and confer efforts, defendants continue to object to providing some requested information related to defendant GW’s ownership of Acadia. (See ¶¶12 and 14 to the Declaration Kraus). The evidence cited does not demonstrate that discovery is likely to lead to the production of evidence of facts establishing jurisdiction. (See *Preciado v. Freightliner Custom Chassis Corp.* (2023) 87 Cal.App.5th 964, 973—no abuse of discretion in denying a request for continuance of motion to quash to conduct discovery where plaintiffs failed to articulate what specific facts they would seek to develop if granted a continuance). Consequently, plaintiff Bao’s request for a continuance to conduct discovery is DENIED.

IV. CONCLUSION

Based on the foregoing, specially appearing defendant GW’s motion to quash service of summons for lack of personal jurisdiction is GRANTED. The Court will prepare the formal order.

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Calendar Line # 10
Case Name Rosette Simon et al vs EAH Housing Inc. et al
Case No. 26CV484388
Demurrer Before the court is defendant EAH Housing, Inc.’s demurrer to plaintiffs’ first amended complaint. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows. I. <u>BACKGROUND</u> In their first amended complaint (“FAC”), self-represented plaintiffs Rosette Simon and Shaquille Ceesay (collectively, “Plaintiffs”) set forth a narrative interspersed with a number of purported common law and statutory violations relating to what the court presumes to be their tenancy at a residential property leased to them by defendant EAH Housing, Inc. (“EAH”). Although a judge should ensure that self-represented litigants are not being misled or unfairly treated (see <i>Gamet v. Blanchard</i> (2001) 91 Cal.App.4th 1276, 1284), self-represented litigants are not entitled to special treatment with regard to the Rules of Court or Code of Civil Procedure. “[W]e cannot disregard the applicable principles of law and accord defendant any special treatment because he instead elected to proceed in propria persona. [Citations.]” (<i>Stein v. Hassen</i> (1973) 34 Cal. App. 3d 294, 303). “A litigant has a right to act as his own attorney [citation] ‘but, in so doing, should be restricted to the same rules of evidence and procedure as is required of those qualified to practice law before our courts.’” (<i>Lombardi v. Citizens Nat’l Trust & Sav. Bank</i> (1955) 137 Cal.App.2d 206, 208-209). Among other things, Plaintiffs allege defendant EAH “breached the implied warranty of habitability,” “failed to fix broken elevator,” “made multiple false statements of plaintiffs,” “took away parking space,” “never sent paperwork regarding security deposit,” “allowed water damage from above units,” “charged illegal amount of court fees,” “harassed Plaintiff,” “discriminated against both Plaintiffs,” “took pictures of tenants personal property w/o consent,” “had violation of building codes,” “defamed the character of Plaintiffs,” and “attempted multiple unlawful entries.” (FAC, pp. 4 – 5). On January 16, 2026, Plaintiffs filed a complaint against defendant EAH. On May 8, 2026, Plaintiffs filed the now operative FAC against defendant EAH. On June 30, 2026, defendant EAH filed a Declaration of Demurring or Moving Party in Support of Automatic Extension (“Extension Declaration”). On July 6, 2026, Plaintiffs filed an objection to defendant EAH’s Extension Declaration. On July 8, 2026, defendant EAH filed the motion now before the court, a demurrer to Plaintiffs’ FAC with an original hearing date of August 6, 2026. There being no timely filed opposition, the court issued a tentative ruling on August 5, 2026 sustaining defendant EAH’s demurrer with leave to amend. On August 6, 2026, Plaintiffs appeared at the hearing but defendant EAH did not appear as there had been no notice of any challenge to the tentative ruling. The court continued hearing on defendant EAH’s demurrer to September 14, 2026. On August 10, 2026, Plaintiffs filed opposition (captioned “Objection”) to defendant EAH’s demurrer.